EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire by virtue of Executive Order No. 2390 dated February 28, 1932. Sometime in December of 1971, during the incumbency of then Mayor Leandro Pagurayan, a resolution was passed changing the name Faire to Sto. Niño.

The objectives of the Municipality of Sto. Niño are to implement development projects and programs to increase tax revenues thru better collection procedures and measures. In line with these objectives, the Local Chief Executive and the Sangguniang Bayan Members, thru the Presiding Officer committed themselves to the delivery of the basic services to their constituents that are geared towards the development of the municipality as a self-reliant community.

For CY 2019, the Municipality of Sto. Niño had a total of 336 personnel complement with 98 permanent, 12 elective, 3 co-terminus, 20 casual and 203 job order status.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Sto. Niño, Cagayan for CY 2019 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year-ended December 31, 2019, with comparative figures for CY 2018 are as follows:

	2019	2018	Increase
Financial Position			
Total Assets	410,146,293.57	345,628,434.73	64,517,858.84
Total Liabilities	126,888,578.48	102,933,516.02	23,955,062.46
Total Government Equity	283,257,715.09	242,694,981.71	40,562,733.38
Financial Performance			
Total Income (Includes Subsidy from Other Funds)	169,257,233.93	160,729,736.31	8,527,497.62

Total Expenses (IncludeTotal Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	128,481,311.59	120,955,926.93	7,525,384.66
Appropriations, Allotments and Obligations			
Total Appropriations –	169,304,878.99	143,382,611.80	25,922,267.19
Total Obligations - Current	146,715,144.55	122,272,530.88	24,442,613.67
Total Appropriations -	59,825,645.91	24,840,670.42	34,984,975.49
Total Obligations -	19,289,341.01	5,085,323.59	14,204,017.42

The Municipality received fund transfers from other agencies totaling P13,997,000.00 and there had been no transferred funds to barangays during CY 2019 with comparative figures for CY 2018, as follows:

	2019	**2018**	**Increase (Decrease)**
Funds Received from:			
National Government Agencies (NGAs)	10,997,000.00	29,094,108.00	(18,097,108.00)
Local Government Units	-	220,000.00	(220,000.00)
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	-	-
Funds Transferred to:			
Local Government Units	3,000,000.00	-	3,000,000.00
Total	**13,997,000.00**	**29,314,108.00**	

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2019 of Sto. Niño, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the report.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations, which were not discussed with the concerned Management officials in an exit conference because of the pandemic:

1. **The validity and accuracy of the balance of the Cash in Bank – Local Currency, Current Account totalling P119,718,116.87 could not be relied upon due to the: (a) non-preparation of the monthly Bank Reconciliation Statements, (b) non-reconciliation of the difference between the book and bank balances, and (c) non-maintenance of separate subsidiary ledgers for each depository account, contrary to Section 74 of Presidential Decree No. 1445 and Section 3 of COA Circular No. 96-011 dated October 2, 1996.**

We recommended that the Municipal Accountant:

a. Strictly observe the monthly preparation of Bank Reconciliation Statements to determine the correct balance of the Cash in Bank account in the financial statements, in compliance with Section 3 of COA Circular No. 96-011 dated October 2, 1996;

b. Exert diligent effort in recording the book and bank balances on a timely basis and submit the Bank Reconciliation Statements and other relevant documents showing that the identified reconciling items were properly recorded and adjusted in the books of accounts;

c. Request from the depository bank the copies of Credit and Debit Memos to determine their validity and effect the necessary adjustments;

d. Communicate with banks all reconciling items, which still need verification; and

e. Reconcile the accounting records with the cashbook of the Municipal Treasurer. Henceforth, both officers should reconcile their records regularly so that errors or discrepancies that may be noted could be readily adjusted.

2. **Notices of Disallowance, with issued Notices of Finality of Decision aggregating to P3,825,796.52 were not recorded in the books as of year-end, contrary to Item 22.6 of COA Circular No. 2009-006 dated September 15, 2009, as a result, the Other Receivable account were understated.**

   We recommended that the Municipal Accountant recognize/record the disallowances that have become final and executory as Receivable-Disallowances totalling P3,825,796.52.

3. **Subsidiary Ledgers and General Ledgers were not maintained for all accounts as required in Section 04 (e), Volume I and Sections 09 and 10, Volume II of COA Circular No. 2002-003 dated June 20, 2002, thus, rendered the existence and accuracy of the reported balances presented in the financial statements unreliable.**

   We recommended that the Municipal Accountant prepare General Ledgers and Subsidiary Ledgers to determine at any given time the details and status of the accounts and to facilitate verification of the Financial Statements.

4. **Long outstanding receivables and cash advances totaling to P17,868,032.07 remained unliquidated or unsettled contrary to Section 89 of PD 1445, COA Circular No. 97-002 dated February 10, 1997 and COA Circular No. 2016-005 dated December 19, 2016, thus depriving the Municipality of the funds for its operations and affecting the fair presentation of the particular accounts in the Financial Statements.**

We recommended that the Management:

a. Enforce collection and settlement of the long outstanding receivables and cash advances through issuance of demand letters; and

b. Require the Municipal Accountant to submit a sworn Certification for unliquidated cash advances, and other receivables with no available documents but are not yet considered dormant as defined under COA Circular 2016-005.

5. **Retention money and 15% recoupment of advance payment were not deducted from every progress billing for the construction of the Municipality's Two-Storey Public Market building, in violation of the provisions under Items 6 and 4, Annex E of the 2016 Revised Implementing Rules and Regulations of the Republic Act No. 9184, resulting to an overpayment to the contractor totaling to P5,905,292.22 as of December 31, 2019.**

We recommended the following to the Management:

a. Instruct the Accounting Office to deduct the retention money and 15% recoupment of advance payment totaling to P5,905,292.22 from the succeeding progress payments of PULSAR Construction;

b. Require the Engineering Office to provide a written explanation on the non-deduction of 10% retention and 15% recoupment of advance payment;

c. For succeeding payments of the infrastructure projects, strictly comply with the provisions of RA 9184, specifically the deduction of 10% retention and 15% recoupment of advance payment from the payments of progress billing to the contractors; and

d. Require the Accounting Office to prepare the computations of all payments related to the Infrastructure projects of the Municipality. Also, draw a journal entry voucher to adjust the overstatement and understatement of the accounts affected.

6. **The Municipality transferred appropriations of 20% Development Fund from one project item to another without authorization, contrary to Sections 321 and 336 of R.A. 7160, resulting to illegal expenditure totaling to P2,941,200.00 as provided COA Circular No. 2012-003 dated October 29, 2012.**

We recommended that the Management:

a. Explain why the transfers/realignment of appropriations were not covered by an appropriation ordinance;

b. Require the concerned officials to refund the amount of P2,941,200.00, otherwise, the transactions will be disallowed in audit; and

c. Ensure that future transfer of funds, which are considered as realignment, be done by way of appropriation ordinance covering a supplemental budget and be transmitted to the Sangguniang Panlalawigan for review and approval.

7. **There was double payment of the 15% mobilization for the concreting of Barangay road at San Manuel, Sto Niño, Cagayan amounting to P374,759.52 contrary to Sections 2 and 103 of the Presidential Decree No. 1445, thereby incurring irregular expenditures as defined in Item 3.0 of COA Circular No. 2012-003 dated October 29, 2012.**

   We recommended that the Management:

   a. Submit written justification/explanation on the double payment of the above-mentioned transaction;

   b. Require the Accounting Unit to prepare a billing statement to the contractor in order to refund the second payment amounting to P374,759.52; otherwise, the said amount will be disallowed in audit;

   c. Revisit the control procedures to prevent the same fraudulent activity to recur in the future transactions; and

   d. Direct the Municipal Accountant and Municipal Treasurer to monitor the progress payments of all projects and ensure that payments made should not exceed the contract amount.

8. **The Municipality did not recoup the amount of P148,753.86 representing advance payment made to the contractor for the construction of pavement at Centro Norte Road in violation of the provision under Item 4, Annex E of the 2016 Revised Implementing Rules and Regulations (IRR) of the Republic Act No. 9184, resulting to an overpayment to the contractor beyond the approved contract cost.**

   We recommended that the Management:

   a. Instruct the Accounting Office to bill the contractor for the refund of the advance payment amounting to P148,753.86, otherwise, the said amount will be disallowed in audit; and

   b. Require the Accounting Unit, for succeeding payments of the infrastructure projects, to strictly comply with the provisions of RA 9184 to deduct 15% recoupment of advance payment from the progress billings to the contractor.

9. **There was an under withholding of taxes from the payment of salaries and bonuses to Officials and Employees totaling to P1,252,020.47 due to erroneous charging of taxes, which is not in accordance with Section 7 (B) of the Revenue Regulations No. 11-2018 dated March 15, 2018, resulting to loss of government funds.**

We recommended that the Management:

a. Require the Accounting Unit to prepare a billing statement to the Officials and Employees concerned in order to return the overpayment of salaries and bonuses totaling P1,252,020.47; otherwise, the said amount will be disallowed in audit;

b. Instruct the Treasury and Accounting Unit, upon return by Officials and Employees, to remit the same amount to BIR representing the underpayment of taxes; and

c. Require the Accounting Unit, for succeeding payments of salaries and bonuses of Officials and Employees, to be cautious in using the correct tax rates to ensure proper computation of the amount of taxes to be withheld in accordance with pertinent Revenue Regulations.

10. 92 Disbursement Vouchers totaling P16,291,767.43 were not submitted to the Auditor for verification, contrary to Section 100 of Presidential Decree No. 1445 and Section 7.2.1.a of COA Circular No. 2009-006 dated September 15, 2009, thus we were unable to ascertain the validity, propriety and completeness of the paid transactions.

We recommended that the Management:

a. Require the Municipal Accountant to cause the immediate submission of all unsubmitted paid DVs and the supporting documents to the Auditor for verification and audit as required in Section 100 of PD No. 1445 and Section 7.2.1.a of COA Circular No. 2009-006 dated September 6, 2009 to avoid the issuance of Notices of Suspension and/or Disallowance in audit of the subject transactions; and

b. Take appropriate administrative disciplinary action against the said concerned public official for failure to comply with the requirements of the aforecited law on the submission of DVs, which omission constitute neglect of duty, pursuant to Section 127 of PD No. 1445.

E. Summary of Total Suspensions, Disallowances and Charges

The status of Suspensions, disallowances and charges as of December 31, 2019 is summarized as follows:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions	5,540,377.58	-	-	5,540,377.58	0%
Disallowances	3,893,556.52	-	34,760.00	3,858,796.52	.90%

Particulars	Beginning Balance	Issued Durin g the Year	Settlement During the Year	Ending Balance	% of Settlement
Charges	-	-	-	-	0%
Total	**9,433,934.10**	-	34,760.00	**9,399,174.10**	

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 49 audit recommendations embodied in the previous years' Annual Audit Reports, 18 were fully implemented, one (1) was partially implemented and 30 were not implemented.